Decision Memo

Project 1 - Corporate Finance | EBAY common equity | AI-assisted analyst draft

Decision and committee ask

WATCH / DEFER. The fund has no existing position. For the investment committee and a 3-5 year horizon, the provisional September 16, 2026 FCFF range is approximately $31-$81 per diluted-proxy share, versus the dated $109.17 close. Low/base/high calculations are $30.58/$53.17/$80.55. These are scenario outputs, not probability bounds or a current October price target.

Evidence and as-of date

Use only information publicly available by September 16 close. Actual H1 2026 legacy revenue was $6,223m and GMV $44,595m; the starting scale doubles this half year and is seasonality-qualified, not reported annual results. June cash $2,310m and debt $6,735m are dated facts. The September opening is a synthetic bridge, including the $1,400m Depop cash purchase, seller June closing proxies and known dividend; other cash movements are assumed zero.

Share denominator: 445m July 31 common shares plus a 10m Q2 award increment =455m diluted proxy, not verified September dilution. Forecasts are five rolling 12-month periods ending September 16, 2027-2031, not eBay fiscal years. Primary sources: eBay FY2025 Form 10-K, Q2 2026 Form 10-Q and Etsy Q2 2026 Form 10-Q, locators in the named validation record.

Material assumptions and sensitivities

Driver	Base judgment / challenge
Legacy growth	GMV 4%,4%,3.5%,3%,3%; separate ad yield gains 3,2,1,0,0 bp. The slowdown from recent momentum needs justification.
Operating cash conversion	Latest legacy cost ratios; capex4.7405% of revenue; working capital1% of incremental revenue; future SBC retained as economic cost.
Depop	Revenue growth20% to6%; pre-PPA EBIT margin-15% to10%. Recurring burn, PPA and tax effects remain uncertain.
Discount / terminal	WACC9.3766% from sourced Treasury5.01% and judgmental beta1, ERP5%, debt cost6.01%. Terminal g2.5%, ROIC15% implies16.67% reinvestment.

Base EV $27,825.10m plus bridge -$97.65m cash-less-reserve +$2,541m liquid +$657.05m haircut equity investments -$6,735m debt =equity $24,190.50m /455m =$53.17. Customer funds excluded; investments and debt counted once; Depop purchase price is not added as DCF value.

Material assumptions and sensitivities (continued)

Terminal PV is70.59% of ENTERPRISE value. The base WACC/g grid gives $43.70-$69.70, separate from the causal $31-$81 range. Holding WACC/g fixed, terminal ROIC10% gives $48.85 versus $53.17 at15%. Reverse DCF requires about20.08% constant legacy GMV growth with other base inputs fixed to reproduce $109.17. These are conditional calculations, not predictions.

Etsy single-peer diagnostics are $71.99 via continuing-income P/E and $77.50 via EV/EBIT with a disclosed Depop cost allocation proxy. Earnings perimeter/period, software capitalization, convertibles, investment income and cash conversion explain disagreement with DCF and older $203-$229 historical-EPS calculations. No mechanical average is used.

Principal risks, failure conditions, and monitoring triggers

Condition	Review and consequence
Entry	Assigned analyst refreshes valuation and bridge before considering price <=80% of UPDATED low value (currently $24.46, about $24). Verified Depop/dilution and fundable downside also required; no automatic buy.
Deterioration	Review each quarterly release AND filing within five business days. FX-neutral GMV <=0% AND ad revenue/GMV lower year over year in EACH of two consecutive quarters triggers assumption revision and revaluation.
Funding / kill	If an explicit assessment still finds a shortfall after reducing discretionary distributions, without supported recovery or committed funding, recommend DO NOT INITIATE. Current code keeps dividends fixed; that distribution-cut assessment is NOT automated.
Downside / limits	Severe contraction produces about $5.49 under explicit survival assumptions. September cash/share bridge, closing PPA, terminal returns and refinancing remain provisional. Later results are future monitoring evidence, not September inputs.

Action requested and next review point

Keep eBay on watch; do not initiate on this evidence. Reassess after the next quarterly release/filing and sooner if financing or transaction evidence changes. The assigned analyst records sources, trigger status, assumption revisions and committee-action changes.

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